

But if credit isn't the problem and you're set on purchasing right now, here are some tips to help you get your mortgage.

- **Get the down payment (or part of it) as a gift.** About one in four first-time home buyers receives money from friends or relatives to cover the down payment. Some lenders require that your down payment consist at least partially of your own money. Others permit the entire down payment to come from a gift. Some lenders require that the gift come from a relative; others allow it to come from friends. In most cases, lenders require a letter from the generous friend or relative stating that the down payment money is a gift, not a loan. (To aid in this effort, I've heard of newlyweds who ask for cash toward a down payment rather than register for china.)

Some lenders will review your bank records before granting your loan. If they see that a large sum of money was deposited in your account a few months before you tried to get a mortgage, they'll ask you to prove that the money is not a loan. So keep careful records of cash gifts and make copies of any large checks you receive (like wedding gifts, for instance). Also, if you sell something valuable (like a car), keep a receipt of the transaction.

- **Try to find seller financing.** When a homeowner who is trying to sell his house helps you to buy it, it's through a lending process called seller financing. The homeowner, because he or she is highly motivated to sell, gives you a loan (either with little or no interest due) to help you come up with a down payment. This has become more popular in recent years. Regardless of the seller's reasons, this can be a great deal for the buyer. Make sure that you get the best interest rate possible by comparing terms at a number of banks. Be sure to get everything in writing and have a lawyer look over the loan agreement before you sign.
- **Tap into your IRA.** You can withdraw up to \$10,000 from your IRA to pay for a first-time home purchase without